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PART II

Statutory Notifications (S.R.O.)

GOVERNMENT OF PAKISTAN

**MINISTRY OF FINANCE, REVENUE, ECONOMIC AFFAIRS,
STATISTICS & PRIVATISATION
(Privatisation Commission)**

NOTICE

Islamabad, the 15th January, 2015

S.R.O. 47 (I)/2015.—WHEREAS the Privatisation Commission is required to publish by notice in the official Gazette each privatisation transaction, *vide* Section 26 of the Privatisation Commission Ordinance, 2000.

WHEREAS the Privatisation Commission has completed the divestment of ~11.46% equity (131, 275, 073 shares) of the Allied Bank Limited (“ABL”) to Domestic Institutional Investors and High Net Worth Individuals (HNWIs) through Offer for Sale Document (OFSD) in compliance to the applicable regulations of domestic stock exchanges and Securities and Exchange Commission of Pakistan (“SECP”) (“ABL Transaction”).

NOW, THEREFORE, in pursuance of the aforesaid provisions of the Privatisation Commission Ordinance 2000 and in exercise of powers enabling on that behalf, the Privatisation Commission hereby publishes this notice.

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Price : Rs. 3.00

Section A Summary Description of the Transaction.

The Cabinet Committee on Privatisation (CCoP) in its meeting held on October 03, 2013 *inter alia* approved the divestment of GOP residual shareholding through capital market offerings in the three privatized commercial banks including divestment of up to 131, 275, 073 of GOP residual shares (~11.46% of the ABL issued share capital) in ABL ('GOP Shares' or 'Offer Size'). Consequent to the due process conducted in accordance with PC (Hiring of Financial Advisor) Regulations 2007, Privatisation Commission ('PC') Board on November 14, 2014 approved the appointment of consortium comprising M/s Elixir Securities Ltd., MCB Bank Ltd, AKD Securities Ltd. to act as Lead Managers and Book Runners (LM&BR) for the ABL Transaction.

CCOP and PC Board, in their meetings held on November 26, 2014, considered and approved the following recommendations:

- i. *Offer Size up to 131,275,073 shares of ABL, representing ~11.46% of paid-up capital;*
- ii. *Offer of GOP shares to both International and Domestic Institutional investors and High Net Worth Individuals (HNWI) through the KSE Book-building System. The offering will be via an Offer for Sale Document (OFSD);*
- iii. *The minimum bid size would be Rs.500,000/-;*
- iv. *Strike Price to be determined via the Dutch Auction Method', in accordance with the KSE book building system;*
- v. *Institutional Investors will be required to pay at least 25% margin money with the bid, whereas Individual Investors will be required to deposit 100% bid money;*
- vi. *Floor Price, when approved by the CCOP and PC Board, would be notified prior to the Book-build exercise, planned for December 11-12 2014;*
- vii. *Requisite exemptions, pertaining to the Transaction Structure, allotment mechanism, etc. would be solicited from the Securities & Exchange Commission of Pakistan (SECP), State Bank of Pakistan (SBP), Central Depository Company of Pakistan (CDC), Karachi Stock Exchange (KSE) and other domestic Stock Exchanges for successful completion of the Transaction.*

Book Building Process, an internationally acceptable and employed method, is a mechanism for price determination through which indication of interest at different price levels from investors for the shares offered is collected and a Book of Demand

is built. To create momentum and generate strong demand to maximise the value for the offered shares while ensuring building of a high quality shareholder base, domestic marketing road-shows for the offering of ABL shares were carried out for Institutional Investors & HN WIs at Karachi, Lahore & Islamabad in December 2014.

Prior to the launch of Book-Building (Bidding) process, scheduled for December 10-11, 2014 and after thorough consideration of multiple factors *i.e.* investors feedback and investors demand analysis at various share prices, regional precedents of discounts offered by the offerer in similar transactions, past privatisation precedents of discounts offered, recent trend of ABL share price, year to date Price/Book Value (P/BV), development of Top 5 banks in Pakistan and Pakistan's banks trading multiples etc. CCOP and PC Board in their meetings held on December 09, 2014 approved the Floor Price, minimum price set for the offering of GOP shares in ABL, of Rs. 105 per share. The same was notified *via* announcements through the domestic stock exchanges and LM & BR.

As scheduled, the Book-Building (Bidding) process initiated at 0900 Hrs PST on December 10, 2014 and closed at 1700 Hrs PST on December 11, 2014. Online revision was, however, allowed to the bidders till 1900 Hrs PST. Salient features of the Book of Demand were as follows:

- (a) At the Floor Price of Rs. 105 per share, orders worth over Rs. 21 Billion were received *i.e.* a coverage of more than 1.4 x the offer size.
- (b) Generated a demand of approx 185 million shares against the offer size of approx 131 million shares.
- (c) Strike price at ~2.5% discount, to the closing price on that day, beating the Asia Region discount benchmarks for precedent transactions.
- (d) Upbeat Demand/Allocation from individual investors *i.e.* ~40% due to lowering Minimum Bid Size from Rs. 1 million to Rs. 500,000.

Considering the demand generated and LM&BR recommendations, CCOP in its meeting held on December 12, 2014 approved the Strike Price, at which GOP Shares in ABL were offered to the successful bidders, of Rs. 110 per share raising gross sale proceeds of Rs. 14.4 billion.

Section B Consultants advising the Privatisation Commission on Transaction

Consortium comprising M/s Elixir Securities Ltd., MCB Bank Ltd. and AKD Securities Ltd. were appointed to act as Lead Managers and Book Runners (LM&BR) for the ABL Transaction.

M/s Mohsin Tayebaly & Company acted Legal Counsels for the ABL Transaction.

M/s Ernst & Young acted as Accountants for the transaction. Price Waterhouse Coopers acted as Tax Advisors and Auditors.

Section C *Requisite Approvals & Exemptions*

For a seamless and efficient execution of the ABL Transaction and to achieve the desired objectives requisite approvals and exemptions were solicited from various agencies/departments/organisations *i.e.* State Bank of Pakistan (SBP), Securities & Exchange Commission of Pakistan (SECP), Finance Division, Competition Commission of Pakistan (CCP), Karachi Stock Exchange (KSE), Lahore Stock Exchange (LSE), Islamabad Stock Exchange (ISE), Central Depository Company Pakistan Ltd. (CDC) etc.

[No. CM/ABL/PC/2014.]

SYED ZAIN GILLANI,
Director Admin
Privatisation Commission
Islamabad